

Paychex vs. ADP — Side-by-Side Cost Analysis

Payroll, 401(k) & Timekeeping | 26 employees | Biweekly payroll (26 runs/year)

PREPARED FOR

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DATE

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Important: Paychex rates are variable and subject to increase. ADP pricing is fixed.

1. Payroll BIWEEKLY · 26 RUNS/YR

STANDARD PRICING — ACTUAL ONGOING RATE (no promotion applied)

LINE ITEM	PAYCHEX	ADP
Per-payroll rate	\$87 / biweekly	\$74 / biweekly
Calculation	\$87 × 26 runs	\$74 × 26 runs
Annual payroll cost	\$2,262.00	\$1,924.00

Ongoing annual payroll savings with ADP: **\$338.00** (\$2,262 – \$1,924)

YEAR 1 — WITH INTRODUCTORY PROMOTION (6 months free)

LINE ITEM	PAYCHEX	ADP
Per-payroll rate	\$87 / biweekly	\$74 / biweekly
Billable runs (Year 1)	26 runs	13 runs (6 months free)
Calculation	\$87 × 26	\$74 × 13
Year 1 payroll cost	\$2,262.00	\$962.00

Year 1 payroll savings with ADP: **\$1,300.00** (\$2,262 – \$962)

2. 401(k)

CURRENT PLAN · 7 PARTICIPANTS · ~\$218K

Figures reflect your current 401(k) plan (7 billed participants, ~\$218,287 in assets). Paychex admin figures are taken from your recent billing statements.

STANDARD PRICING — ACTUAL ONGOING RATE (no promotion applied)

LINE ITEM	PAYCHEX	ADP
Administration fee	~\$202 / month — ACH from your bank account (variable)	Billed to the plan (fixed formula)
How it's paid	Out of pocket (your business pays)	\$0.00 out of pocket (plan-funded)
Annual out-of-pocket 401(k) cost	\$2,424.00	\$0.00

Ongoing annual 401(k) savings with ADP: **\$2,424.00** (\$2,424 – \$0)

YEAR 1 — WITH INTRODUCTORY PROMOTION (8 months free, ends Friday)

LINE ITEM	PAYCHEX	ADP
Administration fee (out of pocket)	\$2,424.00	\$0.00 (8 months free, billed to plan)
Promotional credit	—	~\$1,795 credit applied to the plan
One-time plan transfer fee (leaving Paychex)	\$1,500.00	\$0.00
Year 1 out-of-pocket 401(k) cost	\$3,924.00 (\$2,424 + \$1,500)	\$0.00

Year 1 401(k) savings with ADP: **\$3,924.00** (\$3,924 – \$0)

Beyond the out-of-pocket fees: ADP's funds cost **0.07%** vs. Paychex's Fidelity Advisor M-shares at **0.60%–1.45%** — roughly **\$2,000/year** less in hidden, asset-based fund fees on your ~\$218K balance, and Paychex routes 25–50 bps of that back to itself. ADP also includes a 3(38) investment fiduciary. See the separate retirement comparison for the full all-in breakdown.

3. Timekeeping

ADP = BYOD APP, NO KIOSK

STANDARD PRICING — ACTUAL ONGOING RATE (no promotion applied)

LINE ITEM	PAYCHEX	ADP (BYOD)
Base fee	\$190 / month	$2.50 \times 26 = \$65$ / month
Base fee — annual	$190 \times 12 = \$2,280.00$	$65 \times 12 = \$780.00$
Per-payroll fee — annual	—	$1.66 \times 26 \times 26 = \$1,122.16$
Annual timekeeping cost	\$2,280.00	\$1,902.16 (\$780.00 + \$1,122.16)

Ongoing annual timekeeping savings with ADP: **\$377.84** ($\$2,280 - \$1,902.16$)

YEAR 1 — WITH INTRODUCTORY PROMOTION (6 months free)

LINE ITEM	PAYCHEX	ADP (BYOD)
Base fee	\$190 / month	2.50 / employee / month $\times 26 = \$65$ / month
Base fee — billable months (Year 1)	$190 \times 12 = \$2,280.00$	6 months free → pay 6 months $65 \times 6 = \$390.00$
Per-payroll fee	— (included in base)	1.66 / employee / payroll $\times 26$ employees
Per-payroll fee — billable runs (Year 1)	—	6 months free → pay 13 runs $1.66 \times 26 \times 13 = \561.08
Year 1 timekeeping cost	\$2,280.00	\$951.08 (\$390.00 + \$561.08)

Year 1 timekeeping savings with ADP: **\$1,328.92** ($\$2,280 - \951.08)

Total Cost Summary

ALL FIGURES = OUT-OF-POCKET COST

CATEGORY	PAYCHEX — YEAR 1	ADP — YEAR 1	PAYCHEX — YEAR 2+	ADP — YEAR 2+
Payroll	\$2,262.00	\$962.00	\$2,262.00	\$1,924.00
401(k) (incl. \$1,500 transfer fee, Yr 1)	\$3,924.00	\$0.00	\$2,424.00	\$0.00
Timekeeping	\$2,280.00	\$951.08	\$2,280.00	\$1,902.16
Total	\$8,466.00	\$1,913.08	\$6,966.00	\$3,826.16
YEAR 1 SAVINGS WITH ADP		YEAR 2+ ANNUAL SAVINGS WITH ADP		
\$6,552.92		\$3,139.84		
\$8,466.00 (Paychex) – \$1,913.08 (ADP)		\$6,966.00 (Paychex) – \$3,826.16 (ADP)		

Important: Paychex rates are variable and subject to increase. ADP pricing is fixed — the savings above are protected for the life of your agreement.

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This proposal is for comparison purposes. Promotional terms are subject to ADP's official agreement and rate sheet.